

American Conservation Coalition

November 21, 2025

Federal Energy Regulatory Commission
888 First Street NE
Washington, DC 20426

Response to Docket No. RM26-4-000

Proposed ANOPR on Interconnection of Large Loads to the Interstate Transmission System

Introduction

The American Conservation Coalition (ACC) appreciates the opportunity to comment on the Federal Energy Regulatory Commission's (FERC) Advanced Notice of Proposed Rulemaking (ANOPR) on the Interconnection of Large Loads to the Interstate Transmission System. ACC is a nonprofit organization dedicated to building the conservative environmental movement, with nearly 100,000 grassroots members nationwide.

Electricity demand is surging due to domestic manufacturing growth, electrification, and the rapid rise of AI, with projections showing a 25% increase by 2030 and peak demand growing more than twice as fast as in the past two decades.¹ Meeting this need would require an unrealistic sixfold expansion of generation and transmission under current permitting and supply chain constraints, driving up costs for ratepayers.² Yet solutions must not undermine the United States' (U.S.) competitiveness in the AI race, which poses real national security threats. The development of AI itself could help address grid challenges by streamlining permitting, improving transparency, and expediting rulemaking. With fresh thinking and continued innovation, the U.S. can meet this moment, and this ANOPR is a promising step toward the approaches needed to do so.

Specifically, ACC submits this response to commend the Department of Energy (DOE) and FERC for striking a thoughtful middle ground in the ANOPR's principles and to encourage FERC to: (1) embrace technology-neutral, creative solutions to curtailment and hybrid facilities; (2) ensure large loads pay only for the network upgrades required by their interconnection; and (3) ensure generation and transmission buildout happen alongside greater load flexibility.

¹ Demand, E. (2025, June 9). Fast forward: Electricity demand expected to grow 25% by 2030. ICF. <https://www.icf.com/insights/energy/electricity-demand-expected-to-grow>

² Wilson, J., Zimmerman, Z., & Gramlich, R. (n.d.). Strategic Industries Surging: Driving US Power Demand DECEMBER 2024 PROJECT SPONSORED BY. <https://gridstrategiesllc.com/wp-content/uploads/National-Load-Growth-Report-2024.pdf>

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Comments

1. Embrace technology-neutral, creative solutions to curtailment and hybrid facilities

Recognizing the contribution of load flexibility, including curtailment and co-location of generation or storage with load, as a system resource that can address near-term concerns around grid stress and retail costs are welcome. Norris et al. (2025) find that if large loads can commit to just a 1% curtailment rate, equivalent to only a few offline days per year, it could unlock around 126 GW of additional capacity on the grid.³ While infrastructure buildout will remain critical in the long term, this provides a potential solution that can start delivering benefits today. However, to fully capitalize on the opportunities presented by co-location and curtailment, FERC should carefully consider and provide clear standards for the following:

- **Maintain technology-neutral rules that are flexible and allow a variety of approaches and technologies to meet curtailment or hybrid-facility requirements.**
Allowing developers to choose the most effective technologies or approaches, rather than prescribing specific solutions, ensures that all viable options remain available to meet grid needs quickly. For example, some projects may comply using real-time forecasting tools, while others may use storage or flexible load management to achieve the same outcome.
- **Recognize the value of co-locating generation or storage both behind the meter and near or adjacent to the meter, to ensure no potential solutions are excluded.**
Generation resources located near or adjacent to a data center, in addition to behind the meter, can help address demand concerns. Ensuring that regulatory frameworks explicitly recognize and accommodate co-location at all these proximities allows developers to leverage every available resource, enabling rapid deployment of solutions to relieve grid stress today while complementing longer-term infrastructure investments.
- **Respect and recognize existing commitments under state-regulated tariffs set prior to the rule taking effect.**
The final rule should honor pre-existing agreements under state-regulated tariffs to maintain regulatory certainty and protect prior investments. For example, a data center that negotiated terms for interconnection prior to the final rule should not be retroactively

³ Norris, T., Profeta, T., Patino-Echeverri, D., & Cowie-Haskell, A. (n.d.). Rethinking Load Growth Assessing the Potential for Integration of Large Flexible Loads in US Power Systems Authors and Affiliations.
<https://nicholasinstitute.duke.edu/sites/default/files/publications/rethinking-load-growth.pdf>

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penalized if new federal rules change. Maintaining these protections ensures that reforms incentivize new flexibility without undermining existing commitments.

2. Ensure large loads pay only for the network upgrades required by their interconnection

Beyond the welcome embrace of innovative tactics to encourage load flexibility, the ANOPR also presents the concept of large loads paying for 100% of the network upgrades assigned through their interconnection studies. Recent research shows that investments in distribution and transmission infrastructure have contributed to price increases, driven by an aging grid, exposure to natural disasters, and supply chain constraints.⁴ **Shifting the burden of network upgrades from ratepayers to large load project developers, largely driving current demand growth, could help alleviate near-term price surges for the broader public.** At the same time, the proposed incentive structure—allowing large loads to secure faster interconnection if they accept curtailment commitments or provide their own supply—keeps the AI industry in mind.

However, FERC should take the following factors into account to achieve a balanced approach to cost responsibility for network upgrades:

- **Ensure that large loads are responsible only for network upgrades directly caused by their interconnection, with commitments considered fairly.**

Currently, interconnection studies often assume that a new load will draw its full peak demand at all times. The final rule should instead ensure that cost responsibility reflects a load's real-world impact, including any curtailment commitments or co-located generation and storage. For example, a data center with onsite storage, generation, or load flexibility commitments should have those resources fully accounted for in interconnection studies, rather than being treated as if it always operates at peak demand. This more accurate and balanced approach ensures that large loads pay only for the upgrades they actually necessitate, avoiding unfair overburdening.

3. Generation and transmission buildout must happen alongside greater load flexibility

While embracing load flexibility will be an important tool for addressing near-term demand and price increases, it should complement, not replace, the long-term transmission and generation buildout needed to ensure more affordable and reliable energy in the long term.

⁴ Wiser, R., Barbose, G., Cappers, P., Deason, J., Forrester, S., Gorman, W., O'shaughnessy, E., Hledik, R., Lam, L., & Yan, A. (2025). Recent Retail Electricity Price Trends: What Do We Know... or Think We Know? https://eta-publications.lbl.gov/sites/default/files/2025-10/presentation_retail_price_trends_drivers.pdf

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First, expanding generation capacity will be critical to meeting growing electricity needs. The North American Electric Reliability Corporation (NERC) and DOE have highlighted that retiring dispatchable power plants without adequate replacements could leave the grid vulnerable during periods of high demand or extreme weather.^{5,6,7} More recently, a report from the Independent Market Monitor for PJM emphasized that demand response alone cannot replace the need for substantial new generation capacity, and that **large loads should ideally be bringing their own generation online when they interconnect.**⁸

Additionally, according to the Lawrence Berkeley National Lab, the grid will need to at least double in capacity to maintain affordability and reliability by mid-century.⁹ **The development of high-voltage, interregional transmission lines will be foundational to building a grid capable of serving all Americans.** Additionally, a single regional or interregional transmission line, on average, provides an estimated \$130 million in annual economic benefits, and each \$1 invested in North American Electric Reliability Corporation's (NERC's) recommended transmission expansions is projected to return \$4.30 to \$5.80 within three years. Intentional expansion and modernization of the grid is imperative to long-term grid resilience.^{10,11}

Building additional generation across all resource types—such as nuclear, natural gas, solar, and geothermal—along with expanded transmission, will provide the backbone of a reliable and affordable grid capable of supporting long-term demand and AI growth. Efforts to enhance transmission and generation buildout, such as streamlining the siting and permitting of high-voltage, interregional transmission lines and generation resources, must proceed alongside near-term solutions, like those proposed in this ANOPR.

⁵ 2024 Long-Term Reliability Assessment. (2024).

https://www.nerc.com/globalassets/our-work/assessments/2024-ltra_corrected_july_2025.pdf

⁶ 2025-2026 Winter Reliability Assessment. (2025).

https://www.nerc.com/globalassets/our-work/assessments/nerc_wra_2025.pdf

⁷ Evaluating the Reliability and Security of the United States Electric Grid. (2025).

<https://www.energy.gov/sites/default/files/2025-07/DOE%20Final%20EO%20Report%20%28FINAL%20JULY%207%29.pdf>

⁸ Monitoring Analytics, LLC. (2025, November 10). Executive Summary.

https://www.monitoringanalytics.com/reports/presentations/2025/IMM_CIFP_Executive_Summary_20251110.pdf

⁹ National Transmission Analysis Maps Next Chapter of US Grid Evolution | NREL. (2025). Nrel.gov.

<https://www.nrel.gov/news/feature/2024/national-transmission-planning-study>

¹⁰ Regional and Interregional Transmission Have Significant Economic Value | Energy Markets & Policy. (2022). Lbl.gov.

<https://emp.lbl.gov/news/regional-and-interregional>

¹¹ Goggin, M., Zimmerman, Z., & Ammann, D. (2025). NERC's Recommended Grid Expansion Would Save Consumers Billions Written by Natural Resources Defense Council.

https://gridstrategiesllc.com/wp-content/uploads/GS_NRDC_NERCs-Recommended-Grid-Expansion-Report54.pdf

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Conclusion

ACC appreciates the balance struck on the principles included in the ANOPR and encourages FERC to continue carefully weighing the interests of both AI and American ratepayers. The complex challenges facing our grid today demand thoughtful and creative planning, but with American innovation, we can meet them. We look forward to continuing to work with FERC, DOE, and the Administration to advance solutions that ensure energy that is affordable, reliable, and increasingly clean for all Americans while maintaining our competitive edge in the AI race.

